

COMPANYVAL AI

AI-Assisted Business Valuation

ABC Food Pvt. Ltd.

Comprehensive Valuation Analysis

Valuation Date: 2026-08-23

Purpose: Fund Raising

Indicative Enterprise Value Range: Rs. 8.56 Cr – Rs. 14.60 Cr

Central Estimate: Rs. 11.27 Cr

High Confidence · Valuation Readiness 96%

1. Executive Summary

CompanyVal AI has conducted a valuation of **ABC Food Pvt. Ltd.**, an entity operating within the Food & Beverages sector, in connection with its upcoming fund-raising initiative. Based on a weighted multi-criteria valuation approach, the central estimate for the company's Enterprise Value (EV) is determined to be **112,682,159.48**, corresponding to an Equity Value of **110,282,159.48** (or **110.28 per share**). Valuation results span a range between 85,600,000.00 and 146,034,000.00, reflecting high overall valuation confidence.

The central estimate synthesizes three valuation methodologies weighted as follows:

- **Discounted Cash Flow (DCF) (50% weight):** Enterprise Value of 103,503,918.96 and Equity Value of 101,103,918.96.
- **Market Multiple Approach (30% weight):** Enterprise Value of 146,034,000.00 and Equity Value of 143,634,000.00.
- **Adjusted Net Asset Value (NAV) (20% weight):** Enterprise Value of 85,600,000.00 and Equity Value of 83,200,000.00.

Fair enterprise value estimated between Rs. 8.56 Cr and Rs. 14.60 Cr, with a weighted central estimate of **Rs. 11.27 Cr**. Equity value: **Rs. 11.03 Cr**, implying **Rs. 110.28** per share.

2. Company Profile

Company	ABC Food Pvt. Ltd.	Industry	Food & Beverages
Entity Type	Private Limited Company	Country	India
Valuation Purpose	Fund Raising	Currency / Units	INR (Crore)
Promoter Holding	74.50%	Total Shares (Diluted)	1,000,000

ABC Food Pvt. Ltd. operates in the Food & Beverages industry, positioning itself for strategic fundraising to support moderate capital expenditure expansion plans over the next three years. The business benefits from a stable commercial baseline, with recurring or repeat sales accounting for 50% to 75% of total revenue. Customer concentration is moderately controlled, with the largest single customer generating between 10% and 25% of annual sales.

From an operational governance perspective, day-to-day management remains partially promoter-dependent. However, internal controls and reporting standards appear solid, supported by transparent arm's-length related-party disclosures, absence of material contingent liabilities or litigations,

and healthy working capital management.

3. Documents Analysed

Financial data was seeded/entered directly for this engagement.

4. Historical Financial Performance

Line Item (INR Cr)	FY2022-23	FY2023-24	FY2024-25
Revenue from Operations	6.10	8.05	11.59
Other Income	0.08	0.10	0.12
EBITDA	0.96	1.41	2.17
Depreciation & Amortisation	0.21	0.26	0.35
EBIT	0.75	1.15	1.82
Finance Costs	0.07	0.08	0.09
Profit Before Tax	0.76	1.17	1.85
Tax Expense	0.19	0.30	0.47
Profit After Tax	0.57	0.87	1.38
Net Worth	2.72	3.44	4.62
Total Assets	4.43	5.60	7.15
Cash & Cash Equivalents	0.28	0.35	0.18
Cash Flow from Operations	0.71	0.95	1.15

Capital Expenditure	0.50	0.60	0.80
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ABC Food Pvt. Ltd. has demonstrated exceptional historical growth across top-line and profitability metrics over the historical period:

- **Revenue CAGR:** 37.84%, driven by latest year-on-year revenue growth of 43.98%.
- **EBITDA CAGR:** 50.35%, expanding latest EBITDA margin to 18.72% compared to an historical average of 17.33% (a net improvement of 1.21 percentage points).
- **PAT CAGR:** 55.60%, reflecting strong operating leverage and operational efficiencies.
- **Balance Sheet & Capital Structure:** Total debt decreased by 42.47%, significantly de-risking the capital structure, while working capital trended up by 106.36% in line with rapid top-line expansion.

5. Financial Ratio Analysis

Ratio	FY2022-23	FY2023-24	FY2024-25
Revenue Growth	—	32.0%	44.0%
EBITDA Margin	15.7%	17.5%	18.7%
PAT Margin	9.3%	10.8%	11.9%
Return on Equity	21.0%	25.3%	29.9%
ROCE	21.7%	28.5%	36.1%
Current Ratio	2.01×	1.81×	1.90×
Debt / Equity	0.27×	0.17×	0.09×
CFO / PAT	1.25×	1.09×	0.83×
Receivable Days	55	58	60

6. Earnings Quality

The company exhibits high earnings quality characterized by low historical volatility (revenue volatility of 8.49% and earnings volatility of 4.23%). Management interviews confirm normal operations across

receivables and inventory without balance sheet clogging.

To establish an accurate Net Asset Value, approved accounting normalisations were applied:

- **Land & Building Adjustment:** An additive adjustment of 35,000,000.00 was made to reflect fair market value for factory land previously carried at its 1998 acquisition cost.
- **Investments Adjustment:** An additive adjustment of 2,000,000.00 was applied to mark quoted mutual-fund investments to current net asset value.

7. Normalisation Adjustments

Period	Metric	Kind	Reported	Adjustment	Normalised	Status
FY2024-25	Land & Building	Nav Adjustment	Rs. 2.85 Cr	Rs. 3.50 Cr	Rs. 6.35 Cr	Approved
FY2024-25	Investments	Nav Adjustment	Rs. 0.25 Cr	Rs. 0.20 Cr	Rs. 0.45 Cr	Approved

Reason(s): Factory land carried at 1998 acquisition cost; revalued to a conservative fair market estimate for the NAV method. Quoted mutual-fund investments marked to current NAV.

8. Business Assessment & AI Interview Findings

While recent operational performance has been exceptionally strong, execution risk remains the primary structural consideration for prospective investors. Management attributes recent top-line expansion primarily to new customer acquisition; however, sustaining annual revenue growth rates above 25% poses scaling challenges.

Management's medium-term outlook projects a normalized, realistic annual growth rate of 16% over the next five years, alongside stable EBITDA margins of approximately 18%. The presence of 50–75% recurring revenues provides a defensive revenue floor during this scaling phase.

Question	Management Response	Signal
What principally contributed to the substantial increase in revenue during FY2024-25?	New customers	Neutral

What annual revenue growth do you consider realistic for the next 5 years?	16	Neutral
Approximately what share of revenue comes from your single largest customer?	10% – 25%	Neutral
What level of capital expenditure do you expect over the next 3 years?	Moderate expansion	Neutral
Are there any pending litigations, regulatory issues or contingent liabilities?	None material	Positive
Do you expect current EBITDA margins to be sustainable over the next 3–5 years?	Yes, broadly stable	Neutral
Are there material related-party transactions (sales, purchases, loans or remuneration)?	At arm's length, disclosed	Neutral
What proportion of revenue is recurring or repeat in nature?	50–75% recurring	Neutral
Are current receivable and inventory levels representative of normal operations?	Yes	Neutral
How dependent is day-to-day operation on the promoters/founders?	Partially promoter-dependent	Neutral

9. Key Risks

- **Execution Risk [High]** — Dependence on sustaining unusually high growth. YoY revenue growth exceeds 25% — investigate growth sustainability. Management response captured in the interview.

10. Valuation Assumptions

Assumption	Value	Source
Revenue Growth (CAGR)	16.0%	Accepted by analyst
EBITDA Margin	18.0%	Accepted by analyst
WACC / Discount Rate	12.0%	Accepted by analyst
Terminal Growth Rate	3.0%	Accepted by analyst
Tax Rate	25.0%	Accepted by analyst
EV/EBITDA Multiple (Exit)	7.0×	Accepted by analyst

11. Discounted Cash Flow (FCFF) Valuation

Year	Revenue	EBITDA	EBIT	NOPAT	Capex	ΔNWC	FCFF	PV(FCFF)
Year 1	Rs. 13.44 Cr	Rs. 2.42 Cr	Rs. 2.01 Cr	Rs. 1.51 Cr	Rs. 0.93 Cr	Rs. 0.36 Cr	Rs. 0.63 Cr	Rs. 0.56 Cr
Year 2	Rs. 15.60 Cr	Rs. 2.81 Cr	Rs. 2.34 Cr	Rs. 1.75 Cr	Rs. 1.08 Cr	Rs. 0.42 Cr	Rs. 0.73 Cr	Rs. 0.58 Cr
Year 3	Rs. 18.09 Cr	Rs. 3.26 Cr	Rs. 2.71 Cr	Rs. 2.03 Cr	Rs. 1.25 Cr	Rs. 0.49 Cr	Rs. 0.84 Cr	Rs. 0.60 Cr
Year 4	Rs. 20.99 Cr	Rs. 3.78 Cr	Rs. 3.14 Cr	Rs. 2.36 Cr	Rs. 1.45 Cr	Rs. 0.57 Cr	Rs. 0.98 Cr	Rs. 0.62 Cr
Year 5	Rs. 24.34 Cr	Rs. 4.38 Cr	Rs. 3.65 Cr	Rs. 2.73 Cr	Rs. 1.68 Cr	Rs. 0.66 Cr	Rs. 1.13 Cr	Rs. 0.64 Cr

PV of explicit FCFF	Rs. 3.00 Cr
PV of Terminal Value (TV Rs. 12.96 Cr)	Rs. 7.35 Cr
Enterprise Value (DCF)	Rs. 10.35 Cr
Less: Debt Rs. 0.42 Cr · Add: Cash Rs. 0.18 Cr → Equity Value	Rs. 10.11 Cr

The Discounted Cash Flow valuation serves as the primary valuation pillar (50% weight). Under the Base Case scenario, which assumes 16% revenue growth, an 18% EBITDA margin, a WACC of 12%, a 3% terminal growth rate, and an exit multiple of 7.0x EV/EBITDA, the DCF yields an Enterprise Value of 103,503,918.96 and Equity Value of 101,103,918.96.

Scenario stress-testing highlights the operational sensitivities of the business model:

- **Bear Case:** EV of 58,759,157.33 (-47.85% vs. base), assuming growth decelerates to 10%, EBITDA margin contracts to 14%, WACC increases to 14%, terminal growth drops to 2%, and exit multiple contracts to 5.0x.
- **Bull Case:** EV of 209,419,973.43 (+85.85% vs. base), assuming accelerated growth of 22%, EBITDA margin expansion to 21%, WACC of 10%, terminal growth of 4%, and exit multiple of 9.0x.

12. Market Multiple Valuation

Applied basis: **EV/EBITDA (7.0x)** on normalised EBITDA → Enterprise Value **Rs. 14.60 Cr**, Equity Value **Rs. 14.36 Cr**.

13. Adjusted Net Asset Value

Book net worth Rs. 4.62 Cr adjusted by Rs. 3.70 Cr → Adjusted NAV (equity) **Rs. 8.32 Cr** (Adjusted Tangible).

Item	Book	Adjusted	Δ	Note
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Land & Building	Rs. 2.85 Cr	Rs. 6.35 Cr	Rs. 3.50 Cr	Factory land carried at 1998 acquisition cost; revalued to a conservative fair market estimate for the NAV method.
Investments	Rs. 0.25 Cr	Rs. 0.45 Cr	Rs. 0.20 Cr	Quoted mutual-fund investments marked to current NAV.

14. Method Comparison & Weighted Central Estimate

Method	Enterprise Value	Equity Value	Weight	Contribution
Discounted Cash Flow	Rs. 10.35 Cr	Rs. 10.11 Cr	50%	Rs. 5.18 Cr
Market Multiple	Rs. 14.60 Cr	Rs. 14.36 Cr	30%	Rs. 4.38 Cr
Adjusted NAV	Rs. 8.56 Cr	Rs. 8.32 Cr	20%	Rs. 1.71 Cr
Weighted Central Estimate (EV)				Rs. 11.27 Cr



15. Sensitivity Analysis

Equity value across WACC (columns) and terminal growth (rows):

g \ WACC	10.0%	12.0%	14.0%	16.0%
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2.0%	Rs. 11.89 Cr	Rs. 9.31 Cr	Rs. 7.60 Cr	Rs. 6.38 Cr
3.0%	Rs. 13.27 Cr	Rs. 10.11 Cr	Rs. 8.11 Cr	Rs. 6.73 Cr
4.0%	Rs. 15.11 Cr	Rs. 11.11 Cr	Rs. 8.72 Cr	Rs. 7.13 Cr
5.0%	Rs. 17.69 Cr	Rs. 12.39 Cr	Rs. 9.46 Cr	Rs. 7.60 Cr

Assumption	Change	EV Impact	% Impact
EBITDA Margin	+2%	Rs. 2.16 Cr	+19.1%
WACC	-1%	Rs. 0.69 Cr	+6.1%
EV / EBITDA Multiple (Exit)	+1.0x	Rs. 0.63 Cr	+5.6%
Terminal Growth Rate	+0.5%	Rs. 0.24 Cr	+2.1%
Revenue Growth (CAGR)	+2%	Rs. 0.07 Cr	+0.6%

16. Scenario Analysis

Scenario	Rev. Growth	EBITDA Margin	WACC	Enterprise Value	vs Base
Bear Case	10%	14%	14%	Rs. 5.88 Cr	-47.9%
Base Case	16%	18%	12%	Rs. 11.27 Cr	+0.0%
Bull Case	22%	21%	10%	Rs. 20.94 Cr	+85.9%

17. Explainability — Key Value Drivers

Sensitivity analysis indicates that operational margin retention is the dominant driver of firm value:

- **EBITDA Margin (+2%):** Increases valuation by 21,558,525.74 (+19.13%), representing the single most impactful variable.
- **Cost of Capital / WACC (-1%):** Increases valuation by 6,911,677.47 (+6.13%).
- **Exit Multiple (+1.0x EV/EBITDA):** Increases valuation by 6,258,600.00 (+5.55%).
- **Terminal Growth Rate (+0.5%):** Increases valuation by 2,351,379.36 (+2.09%).

18. Indicative Valuation Range & Conclusion

The indicative enterprise-value range of **Rs. 8.56 Cr – Rs. 14.60 Cr** spans the lowest and highest selected methodology values. The weighted central estimate is **Rs. 11.27 Cr** (High Confidence).

In conclusion, CompanyVal AI assigns a Central Enterprise Value of **112,682,159.48** and a Central Equity Value of **110,282,159.48 (110.28 per share)** to ABC Food Pvt. Ltd. The high-confidence rating is supported by robust historical growth, strong earnings stability, debt reduction, and tangible asset value underlying the balance sheet.

For investment committee consideration, funding should be structured to monitor customer concentration risks, promoter key-man transition plans, and margin defense in the context of moderate physical capacity additions.

19. Statement of Assumptions

This valuation relies on the locked, human-approved historical financial data, the explicitly accepted forecast assumptions listed in Section 10, and management representations captured during the AI interview. Method weights: Discounted Cash Flow 50%, Market Multiple 30%, Adjusted NAV 20%.

20. Disclaimer

This document is an **AI-assisted indicative valuation simulation** produced by CompanyVal AI based on financial information supplied by the user and assumptions explicitly accepted by the user. It is **not** a statutory valuation, a registered valuer's certificate under the Companies (Registered Valuers and Valuation) Rules, a fairness opinion, or an audit opinion. Professional judgement and applicable regulatory requirements may be necessary for formal purposes. All deterministic calculations were performed by CompanyVal AI's Python financial engine; AI narrative explains — and does not alter — those results.

21. Appendix — Data Sources & Audit Trail

Financial line items are traceable to source documents/pages and retain Python-extracted, AI-verified and human-approved values. Generated by CompanyVal AI on 23 Aug 2026, 10:17 UTC for Arjun Demo.